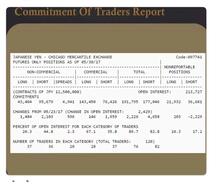
Month 10

Commitment of Traders - How I use the data :-



The Raw Data :-
- → weekly report found on www.CFTC.gov
- → Futures contract only short format.
- → CME - Chicago Mercantile Exchange.
- → Japanese Yen Futures Contract.
- → Commercial Long & Short Positions.
- → Commercial Net Positions = Long - short
  - if positive → net Long
  - if negative → net short
- → This tells us nothing about their current hedging Program, Let's look deeper!

Tracking the three Main class of Traders :-



- → Found on www.barchart.com
- → Plot daily chart with Net traders position Line chart.
- → Duration Displayed = one year of price Action
- → commercial traders are shown in Red
- → Large Traders are shown in Green
- → Small speculators are shown in Blue
- → I want you to visually see the hedging commercial traders!





Commercial Hedging Programs :-

- → If commercials are above or below the net zero line both sides of the market can be used to trade.
- → The current "range" of the commercials Net Position is reffered to.
- → If Institutional orderflow is Bullish - blend discount PD Arrays and 12/6 Month Net long commercial readings for long trades.
- → If Institutional orderflow is Bearish - blend Premium PD Arrays and 12/6 month Net short commercial readings for short Trades.
- → The best conditions are seen when both net zero basis agree with Institutional orderflow & PD Array Matrix confluence.

The Long Term Commercial Activity :-

- → The Net zero line delineates the net buying and or net selling.
- → Retail Traders that know about the Net traders Position chart only look at whether commercials are net long for Bullishness or net short for bearishness on a market.
- → The smart money can be tracked by focusing on the 12 Month & 6 Month range of commercial Net Position.
- → If commercials are above Net zero line = focus on 12/6 month net long.
- → If commercials are below Net zero line = focus on 12/6 month net short.
- → Blend these conditions with PD Array Matrix & Institutional orderflow for optimal results in directional Analysis.

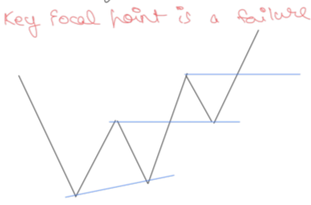
Relative Strength Analysis - Professional Accumulation & Distribution :-

Agricultural
- → Grains - Corn, wheat, Soybeans
- → Livestock - Feeder Cattle, Lean Hogs, Live Cattle
- → Foods - cocoa, orange Juice, coffee, Sugar
- → Fibers - Cotton

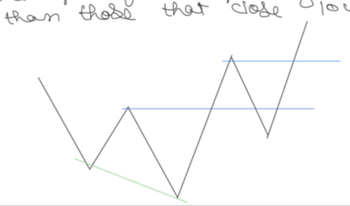
Financial
- → Debt - T Bonds, 10 Yr Note, 5 Yr Note
- → Currencies - Aus $, Can $, Yen, Pound, Franc, Euro, NZ $
- → Metals - Gold, Silver, copper
- → Energies - Crude Oil

Institutionally Sponsored Rally :- & Vice Versa for Institutionally sponsored Decline
- → The Market tends to trade higher energetically as a Leader Market and establishes the underlying direction opposite to DX.
- → These Markets are extremely Profitable - our Aim is to focus on these Markets as they'll be the strongest upside movers.
- → Short term highs are seen broken and declines are shallow in nature. The upswings and up closing candles are typically much larger than those that close lower or move lower.

*Key focal point is a failure to trade lower - Divergence.



Sympathetic Rally :- & Vice versa for Sympathetic decline
- → The Market tends to trade higher in sympathy to the Leader Market that established the underlying direction.
- → While these markets are potentially profitable - our aim is to focus on the Leadership Markets for the strongest Rallies.
- → Short term highs are seen broken & declines are shallow in nature. The upswings and up closing candles are typically much larger than those that close lower or move lower.





Premium vs carrying charge Market :-

When there is no premium market we have reffered to as a carrying charge Market.
→ spread difference between near & far fut price.

Open Interest & Smart Money footprints :- (Also combine OI with seasonal Tendencies)

Open Interest in commodity Market :-
- → Open Interest is the total number of outstanding contracts that are held by market participants at the end of each trading day. Where Volume measures the pressure or intensity behind a price trend, Open Interest measured the flow of money into the futures market.
- → For each seller of a futures contract there must be a buyer of that contract. Thus a seller & the buyer combine to create only one contract. Therefore to determine the total open interest for any given market. We need only to know totals from one side or the other, buyers or sellers, not the sum of both.
- → The commodity markets have a built in advantage or "additional Insights" shared by the way of open interest. The study of open interest can provide a trader a very important perspective in a commodity.
- → There are two ways to view open interest as a trading tool:
  - i) Measuring the strength of a trend or price move.
  - ii) Tracking the footprints of the large commercial hedgers.

Open Interest in Trends & swings :-
- → If prices are in an uptrend, and open interest is rising, this is a bullish sign. There are shorts who are being stopped out, but new sellers are taking their place. As the market continue to rise, the long gets stronger and the shorts get weaker.
- → If prices are in a downtrend, and open interest is rising, this is a bearish sign, weak longs are being stopped out, but new buyers are taking their places. As the market continued to fall, the shorts get stronger & longs get weaker. Put another way. As long as open Interest is increasing in a major trend, it will have the necessary sponsorship to continue.
- → If prices are in uptrend & open Interest is falling, this is a bearish sign.
- → If prices are in downtrend & open Interest is falling, this is bullish sign.

using Open Interest in consolidations :-
- → If price is in consolidation & open interest is rising, this is a bearish sign.
- → If price is in consolidation & open interest is falling, this is a bullish sign.
- → Ideally, we want to look for long term or higher time frame Levels in price to anticipate this open interest concept.

Basics & opening Range Concept :-

Bond opening Range concept :-

Highest volume :- 8:00 AM & 9:30 AM NY Time
True Day :- 8:00 AM to 3:00 PM NY Time
opening Range :- Begins 8:00 AM NY Time
Ends 9:00 AM NY Time

Narrow your focus :-
The opening range blw 8:00 AM to 9:00 AM tends to create the bond Market High or low of the day. It can be run on stops & for value setups. It is the location Liquidity pools build around for Stock Market open raids.

Split session Rules :-

T-Bond Split session Rules :-

Traditional overnight session : London
New York AM session : 8:00 AM to Noon
New York PM session : Noon to 3:00 PM

Trending days can see the complete trading day be one sided in both AM & PM sessions.

consolidation days can see opposing directions in the AM & PM sessions. or it can see one session produce a swing and other be quiet & consolidate.

Index Futures : Basics & opening Range Concept :-

SP 500 opening Range concept :-

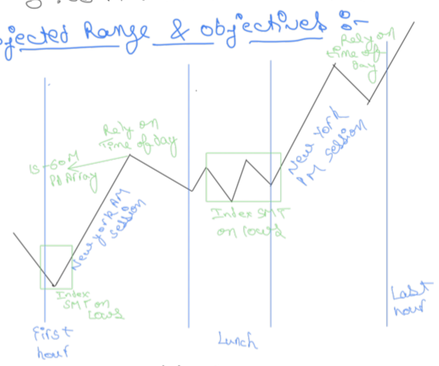
opening range :- 9:30 AM NY Time Begins
10:30 AM NY Time Ends

Narrow your focus :- The opening range blw 9:30 AM to 10:30 AM tends to create the SP 500 Market high or low of the day. It can be run on stops or fair value setup.

The AM Trend :-
- → Traditional overnight session : London
- → New York AM session : 9:30 AM to Noon
- → The True day high or low will tend to form in between the hours of 9:30 AM and 10:30 AM New York time.
- → Between the open at 9:30 AM & Noon New York time - there is typically a trend or price swing daily [AM Trend]
- → The AM trend can be the continuation of overnight direction right from the open.
- → The AM trend can be a outright reversal of direction or a outright reversal of Intraday Price action
- → You want to study many days of morning price swing is. to learn how consistent this
- → The AM trend can end at 10:30 AM to 11:00 AM but anticipate it continuing up to noon or "New York lunch hour".

The PM Trend :-
- * After the Noon New York Lunch hour
- → New York PM session : 1:00 PM to 4:00 PM
- → The true day high or low tends to form in blw hours of 3:00 PM and 4:00 PM New York time.

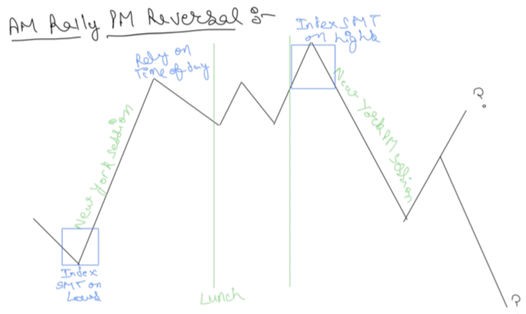
Projected Range & objectives :-



Two session Up close :-
Institutional orderflow : Bullish
AM Trend :- Returns to a discount Array then Rallies.
Lunch hour :- Consolidates with shallow retracements.
PM Trend :- Runs the Lunch hour lows [sell stops]
or
Drops into PD Discount Array then Rallies into close.

& Vice versa for Two session Down close

AM Rally PM Reversal :-



- → Institutional orderflow : Bull - Under HTF Prem PDA
- → AM Trend :- Returns to a discount Array then rallies.
- → Lunch hour :- Consolidates with shallow retracements.
- → PM Trend :- Runs the Lunch hour high - Then reverse into close
  or
  Runs the Intraday high - Then reversed into close.

& vice versa for AM decline PM Reversal

Stock Trading :-

Seasonals & Monthly swings :-

Building Buy watchlist :-

Filter 1 :- The stock Market should be poised to rally
Filter 2 :- During Bullish Months - select higher low stocks.

- → Selecting 2-4 from the list would accomplished by selecting call options that were "affordable" as well as where each were trading in historic terms.
- → A stock from this list that was too extended from a weekly or daily structure - would eliminate it from the list.
- → Quarterly Increase in sales & profits would also be strong factors in keeping a stock from this list.
- → Blending a simple - seasonal - fundamental - and ultimately trading process for selecting possible winning stocks!

& vice versa for Building Sell watchlist

Valuation stock selection :-

CANSLIM :-

C → current Earnings (+25% or more in recent quarters)
Tickertape Filter Name :- 1Y Hist EPS Growth

A → Annual Earnings (+25% in each of last 3 years)
Tickertape Filter Name :- 5Y Hist EPS Growth

N → New Factor (New Products, services, Management & More)
S → Supply & Demand
L → Leader vs Laggard (strong get stronger)
I → Institutional Sponsorship
M → Market Direction

Multi Asset class Analysis :-

Bonds, currencies, commodities, stocks